INITIATION US SEMICONDUCTORS SELL

Taiwan Semiconductor

TSM US NYSE 1 NOVEMBER 2026

Strong growth, but the price is already ahead of it.

We rate TSM a SELL with a twelve-month target of $351 per ADS. That is 13.6% below the $406.13 close on 30 October 2026. A DCF today gives $325. Both numbers are ours, not consensus.

Revenue grew 21.9% a year from 2020 to 2025. That took it from $45.5bn to $122.5bn. In Q3 2026 alone TSMC sold $46.72bn, at a 58.7% operating margin that no full year from 2020 to 2025 matched.

We expect growth to slow and margins to ease. Revenue grows 24% in 2027 and 20% in 2028, and operating margin slides to 54% by 2030. Capex holds between 27% and 32% of revenue, so a big share of the profit goes straight back into new fabs.

The discount rate moves the answer most. At a 10.5% WACC the value is $351. At 9% it is $436, and at 12% it is $294.

The price asks for more growth than we assume. To be worth $406 today, revenue would have to grow about 5.3 points faster every year from 2027 to 2030. Our bear case is $204 and our bull case $579.

BASE CASE

Rating	**SELL**
12M target price	**$351**
Price, 30 Oct 2026	**$406.13**
Price return	**-13.6%**

KEY DATA

Market cap, USD bn	**2,106**
ADS equivalents, bn	**5.186**
Cash and securities*	**$126.0bn**
Interest-bearing debt*	**$32.4bn**
Fiscal year end	**December**

REVENUE AND FCF

USD bn, 2020 to 2025 actual

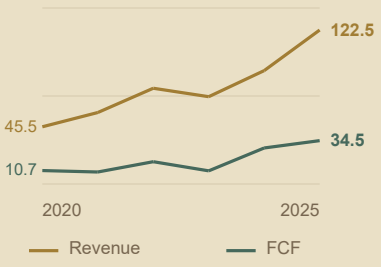


Exhibit 1 **Financial summary, fiscal year ends December**

USD bn, except per ADS	2024A	2025A	2026E	2027E	2028E
Revenue	90.2	122.5	176.1	218.4	262.1
Revenue growth	29.9%	35.8%	43.8%	24.0%	20.0%
Operating margin	45.7%	50.8%	58.6%	57.0%	55.5%
Parent net income	36.6	55.2	90.3	104.5	121.7
Diluted EPS per ADS, USD	7.05	10.65	17.40	20.16	23.47
P/E at $406.13	57.6	38.1	23.3	20.1	17.3

* Balance sheet at 30 September 2026. One ADS equals five ordinary shares.

Exhibit 2 **Scenario values**

12-month model value	Bear	Base	Bull
USD per ADS	$204	$351	$579
Price return from $406.13	-49.9%	-13.6%	+42.6%

This edition changes how reinvestment fades after 2030 and brings the October cash flow and dividend into the cash bridge, compared with our earlier draft. Page 11 walks through the numbers.

02 FINANCIAL RECORD

Historical financial performance

All figures on this page come from the supplied Excel workbook (S1).

Exhibit 3 **Revenue, USD bn, 2020 to 2025**

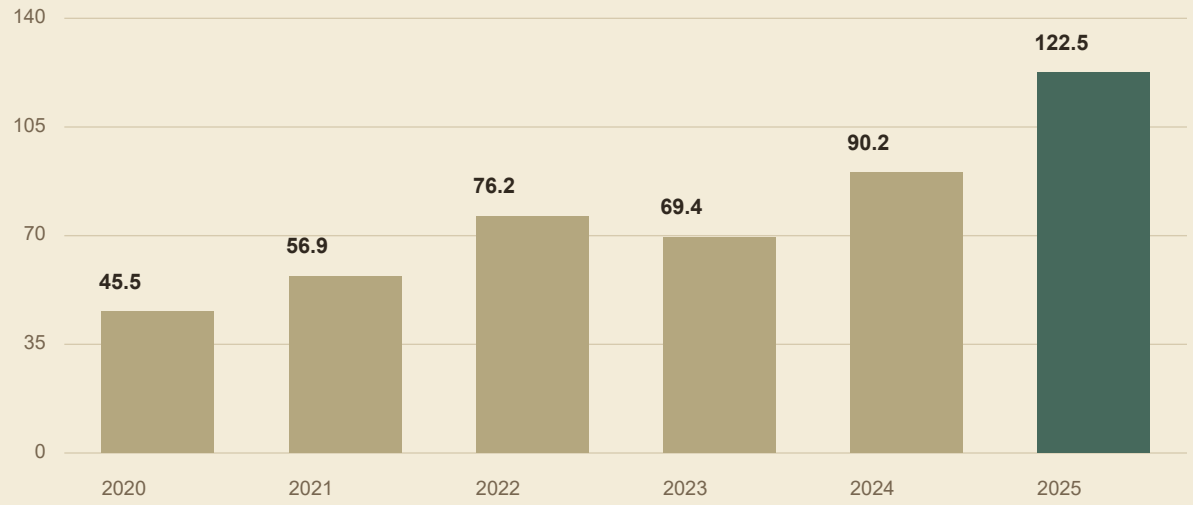


Exhibit 4 **Profitability and earnings**

USD bn	2020A	2021A	2022A	2023A	2024A	2025A
Revenue	45.5	56.9	76.2	69.4	90.2	122.5
Operating profit	19.3	23.3	37.7	29.6	41.2	62.3
Gross margin	53.1%	51.6%	59.6%	54.4%	56.1%	59.9%
Operating margin	42.3%	40.9%	49.5%	42.6%	45.7%	50.8%
Parent net income	17.6	21.4	34.2	26.9	36.6	55.2
EPS per ADS, USD	3.39	4.12	6.59	5.19	7.05	10.65

Growth was uneven. Revenue rose 2.69 times between 2020 and 2025, a 21.9% compound rate. It fell 8.8% in 2023, then jumped in 2024 and 2025. We let growth slow as the base gets larger.

Margins are at a peak. Operating margin ran between 40.9% and 50.8% from 2020 to 2025, and our 2026 estimate sits well above that range. We do not assume today's margin lasts forever, so the forecast brings it down gradually.

EPS per ADS is parent net income divided by diluted ordinary shares, times five. Source rows are listed on page 11.

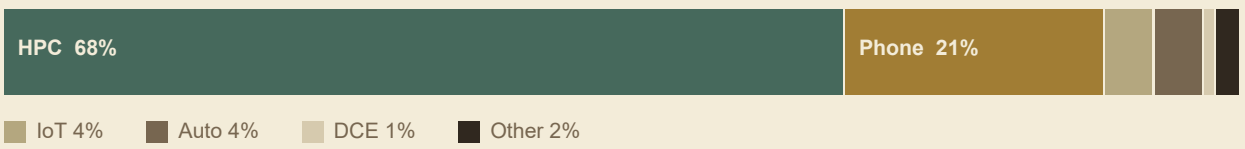
03 CURRENT BUSINESS

Leading-edge demand and near-term guidance

Q3 2026 results and Q4 guidance as TSMC reported them. Our own estimates start on page 5.

Exhibit 5 **Q3 2026 business mix**

Net revenue by platform



Wafer revenue by process technology

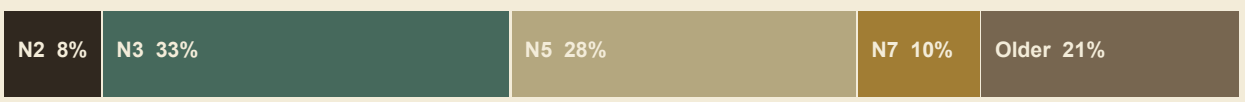


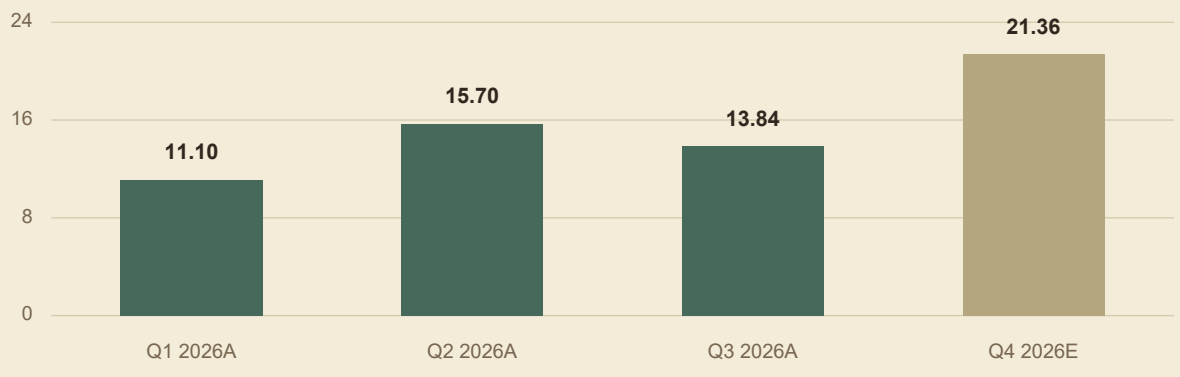
Exhibit 6 **Actual results and company guidance**

Metric	9M 2026A	Q3 2026A	Q4 guidance
Revenue, USD bn	122.8	46.7	52.3 to 54.3
Gross margin	66.8%	66.4%	65.0% to 67.0%
Operating margin	59.0%	58.7%	56.5% to 58.5%
Parent net income, USD bn	64.3	23.9	Not guided
Capex, USD bn	40.6	13.8	Full year 60 to 64

Revenue leans heavily on HPC. HPC was 68% of Q3 2026 net revenue, and that category also holds non-AI chips. Nodes of 7nm and below made 79% of wafer revenue. The platform and node splits use different bases, so they cannot be added together.

How we build 2026. Nine-month revenue of $122.8bn plus the $53.3bn guidance midpoint gives $176.1bn for the year. We take the midpoints for Q4 margins as well, 66.0% gross and 57.5% operating. Gross margin slipped 1.3 points in Q3 as N2 began to ramp.

Exhibit 7 **Capex by quarter, USD bn**



Q4 capex is our estimate. It is the $62bn midpoint of the US$60bn to US$64bn 2026 budget that TSMC repeated on its Q3 call, minus the $40.64bn already spent in the first nine months.

04 CASH GENERATION

Cash generation and capital allocation

Reported operating cash flow less gross capex is a different measure from the FCFF in our model.

Exhibit 8 **Operating cash flow and free cash flow, USD bn**

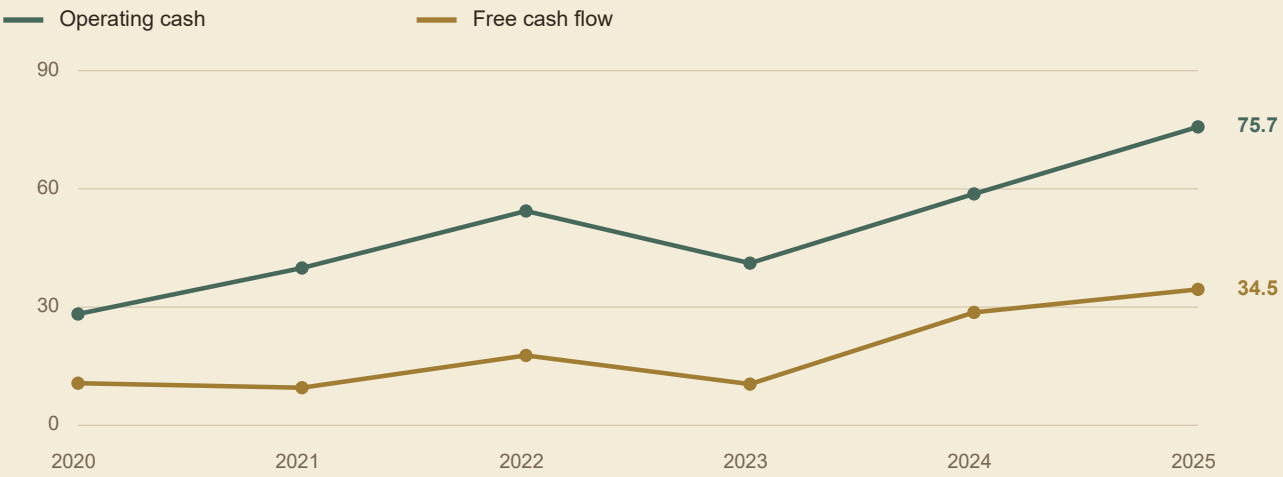


Exhibit 9 **2025 operating cash allocation, proportional**

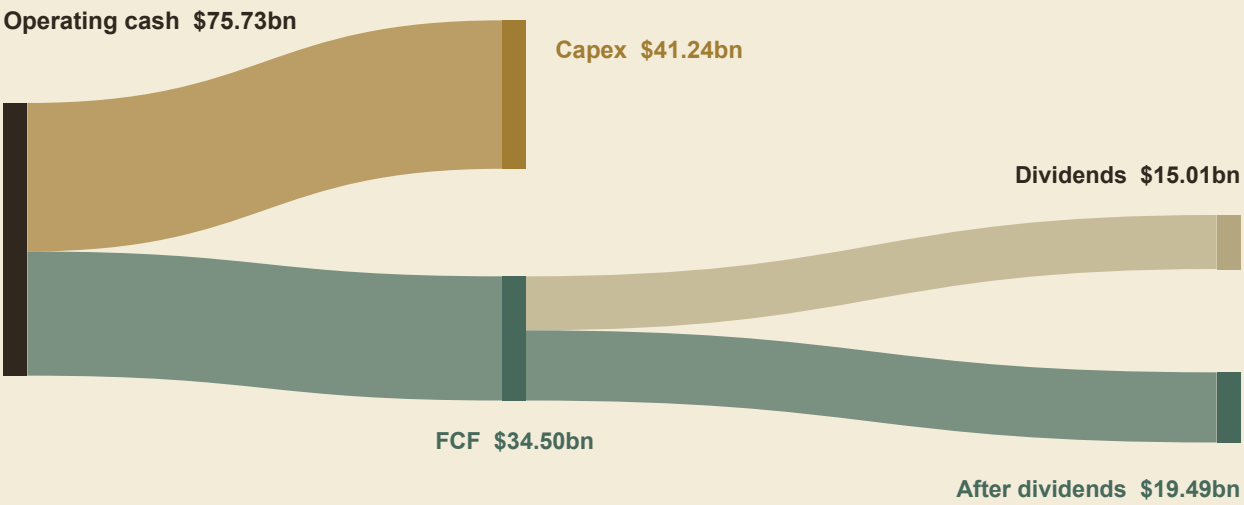


Exhibit 10 **Cash bridge to equity at 30 October 2026**

USD bn	Amount	Treatment
Cash and marketable securities, 30 Sep	126.0	Added
Interest-bearing debt, 30 Sep	(32.4)	Subtracted
Non-controlling interests, 30 Sep	(1.4)	Subtracted
October operating FCFF, one third of Q4	3.7	Added
Q1 2026 dividend paid on 8 October	(5.7)	Subtracted
Financial bridge at 30 October	90.2	Added to enterprise value

In 2025 capex took 33.7% of revenue and dividends took $15.01bn, which left $19.49bn. TSMC's audited figures run a little below the workbook, with operating cash flow of $73.12bn, capex of $40.90bn and dividends of $15.00bn. Our valuation does not use these 2025 cash figures.

S1 is a standardized USD series from a data vendor. TSMC converts at its own average rate, and the line definitions can differ. Debt is TSMC's reported interest-bearing debt of NT$1,031.58bn at NT$31.88 per dollar.

05 EXPLICIT FORECAST

Operating forecasts and earnings normalization

2027 to 2030 figures are our assumptions, not company guidance or consensus.

Exhibit 11 **Operating forecast, USD bn except margins and EPS**

USD bn	2026E	2027E	2028E	2029E	2030E
Revenue	176.1	218.4	262.1	304.0	340.5
Revenue growth	43.8%	24.0%	20.0%	16.0%	12.0%
Gross margin	66.6%	65.5%	64.0%	63.0%	62.5%
Operating margin	58.6%	57.0%	55.5%	54.5%	54.0%
Operating profit	103.2	124.5	145.4	165.7	183.9
Normalized NOPAT	84.6	102.1	119.3	135.9	150.8
Parent net income	90.3	104.5	121.7	138.3	153.2
EPS per ADS, USD	17.40	20.16	23.47	26.67	29.54
Unlevered FCFF	39.0	61.2	79.1	99.6	116.7

Revenue. Growth slows from 24% in 2027 to 12% in 2030. That needs advanced-node demand to hold and new capacity to arrive on time, with no major disruption. We model the group as a whole, with no split by customer, wafer price or utilization.

Margins. Operating margin falls to 54% by 2030. Ramping new nodes and building fabs outside Taiwan cost money, and that offsets part of the gain from a better product mix. Gross margin is shown for reference. The valuation runs off operating margin.

Earnings and cash flow

2026 net income is our Q4 estimate added to the reported nine months. From 2027, parent net income is operating profit times 82%, plus $2.46bn of recurring non-operating income after tax. We leave out the Q2 2026 gain on the VIS shares and other one-off gains.

FCFF applies an 18% tax rate to operating profit and ignores non-operating income. It will not match reported operating cash flow less capex, because tax timing, working capital and non-operating cash all differ.

The share count stays at 5.1864bn ADS equivalents. We assume no buybacks, no new shares and no change in minority interests.

06 REINVESTMENT

Capital expenditure and terminal reinvestment

Capex, depreciation and working capital are modeled year by year to 2030. After that, reinvestment follows growth.

Exhibit 12 **Investment assumptions, USD bn**

USD bn	2026E	2027E	2028E	2029E	2030E
Gross capex	62.0	69.9	78.6	85.1	91.9
Capex to revenue	35.2%	32.0%	30.0%	28.0%	27.0%
D&A	25.6	34.9	44.6	54.7	63.0
Core working capital	24.7	30.6	36.7	42.6	47.7
Increase in core working capital	9.2	5.9	6.1	5.9	5.1

Capital spending. 2026 capex is $62bn, the midpoint of TSMC's budget. Capex falls from 32% of revenue in 2027 to 27% in 2030, while D&A rises from 16% to 18.5% of revenue.

Working capital. We hold receivables plus inventory less payables at 14% of revenue. In 2025 it was $15.50bn, or 12.7% of revenue. Accruals, tax and equipment payables are left out because this is not a full balance-sheet forecast.

Exhibit 13 **Long-run fade, USD bn**

Year	Revenue	Growth	EBIT margin	Reinvestment	FCFF
2031E	375.2	10.2%	53.2%	42.8	120.9
2032E	406.7	8.4%	52.4%	42.8	131.9
2033E	433.6	6.6%	51.6%	41.0	142.4
2034E	454.4	4.8%	50.8%	36.7	152.6
2035E	468.0	3.0%	50.0%	28.8	163.1

From 2031, reinvestment is NOPAT times revenue growth, divided by the return on new capital. That return falls from 43.8% in 2030 to 20%. At 3% terminal growth, a 20% return and a 50% EBIT margin, the company reinvests 15% of NOPAT for the long run. FCFF rises from $163.1bn in 2035 to $168.0bn in the first terminal year.

Our earlier draft tied fade reinvestment to the change in NOPAT. When margins fell, reinvestment collapsed even though revenue kept growing, and that overstated 2031 to 2035 FCFF. Page 11 shows the effect.

07 DCF VALUATION

DCF valuation and equity bridge

Enterprise DCF in USD as of 30 October 2026, with mid-year timing for every cash flow.

Exhibit 14 **Valuation bridge today, USD bn**

Component	Value
PV of remaining 2026 cash flow, November and December	7.31
PV of 2027 to 2035 FCFF	645.08
PV of terminal cash flows	942.81
Enterprise value	1,595.19
Add financial bridge at 30 October	90.21
Equity value	1,685.40
ADS equivalents, bn	5.1864
DCF value per ADS today, USD	324.97

Value in twelve months

By 30 October 2027 only two months of 2027 cash flow and the years from 2028 are still ahead. The $58.38bn of FCFF earned in between goes into the cash bridge, less $30.54bn of assumed dividends. That leaves $350.82 per ADS, which we round to $351.

Financial bridge in twelve months, USD bn	Estimate
Bridge at 30 October 2026	90.21
Plus FCFF, November 2026 to October 2027	58.38
Less assumed dividends	(30.54)
Bridge at 30 October 2027	118.05

Dividends. We assume TSMC pays out 30% of NOPAT over the year, about $5.89 per ADS. That is our estimate, not a declared dividend.

Declared dividends. The Q1 2026 dividend went ex on 16 September and was paid on 8 October, so we deduct it. The Q2 dividend goes ex on 10 December. A holder on 30 October still gets it, so we leave it in.

Today's DCF value is 20.0% below $406.13. The twelve-month value is 13.6% below. Add the assumed dividend and the total return is about -12.2% before tax and fees.

08 SENSITIVITY

Valuation sensitivity analysis

Every value on this page is a twelve-month model value per ADS in USD.

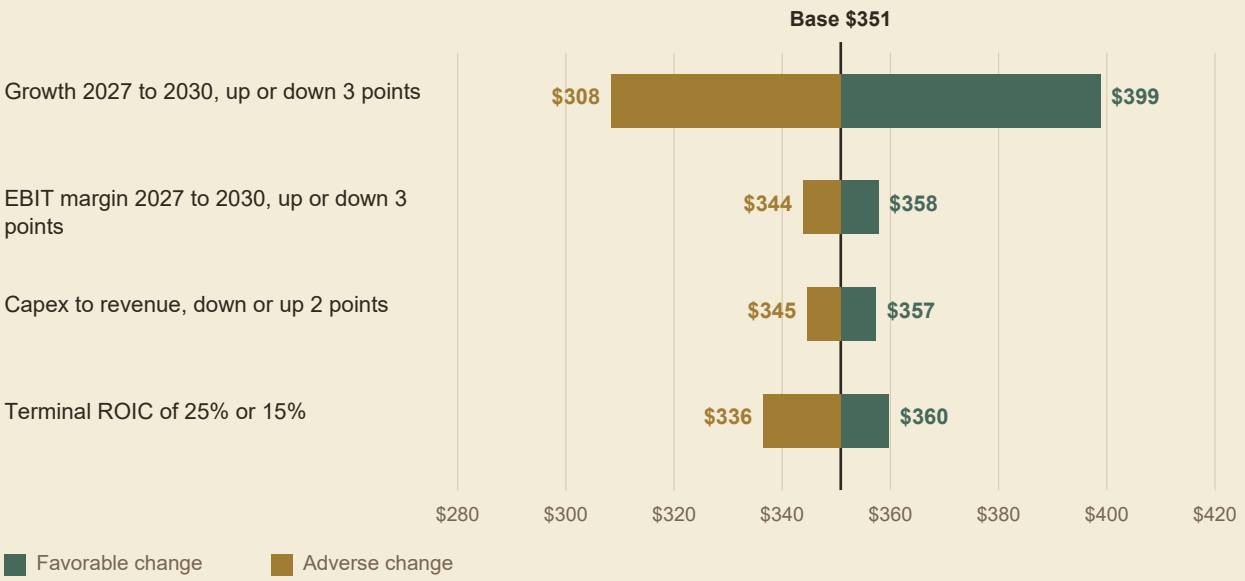
Exhibit 15 **WACC and terminal growth**

WACC (rows), g (columns)	2.0%	2.5%	3.0%	3.5%	4.0%
9.0%	$402	$418	$436	$458	$483
10.0%	$352	$363	$375	$389	$405
10.5%	$332	$341	$351	$362	$375
11.0%	$314	$321	$330	$339	$350
12.0%	$283	$288	$294	$301	$308

The outlined cell is the base case.

We use a 10.5% WACC. We did not estimate it from a beta regression, so treat it as a judgment call and read across the grid. With terminal growth at 3%, a 9% WACC gives $436 and 12% gives $294. Terminal value is 59.1% of enterprise value, which is why small changes here matter so much.

Exhibit 16 **One input at a time, USD per ADS**



Each test moves one input and keeps the fade rules. Growth and margin tests shift every year from 2027 to 2030, and capex tests move capex to revenue by two points.

09 EXPECTATIONS AND SCENARIOS

Scenario analysis and implied growth expectations

Three linked scenarios, with no probabilities attached.

Exhibit 17 **Scenario assumptions and twelve-month values**

	Bear	Base	Bull
2027 revenue growth	18%	24%	30%
2028 revenue growth	14%	20%	26%
2029 revenue growth	10%	16%	22%
2030 revenue growth	6%	12%	18%
EBIT margin, every year 2027 to 2030	Base -5 pts	Base	Base +3 pts
2030 EBIT margin	49%	54%	57%
Capex to revenue	Base +3 pts	Base	Base -2 pts
WACC and terminal growth	12% and 2.5%	10.5% and 3%	9.5% and 3.5%
Terminal ROIC	16%	20%	24%
12M model value, USD	$204	$351	$579
Price return	-49.9%	-13.6%	+42.6%

What the price implies

We hold every other input at base and raise 2027 to 2030 growth until the model matches $406.13. Today's DCF value needs about 5.3 extra points of growth each year, and the twelve-month value needs about 3.4. Either way the market expects faster growth than we do.

Revenue growth	Base case	Price = DCF today	Price = 12M value
2027	24.0%	29.3%	27.4%
2028	20.0%	25.3%	23.4%
2029	16.0%	21.3%	19.4%
2030	12.0%	17.3%	15.4%

Our 2027 EPS estimate is $20.16 per ADS. The share price is 20.1 times that, and our twelve-month value is 17.4 times. These multiples come from our model, not from peers or consensus.

After 2030 each scenario fades to its own terminal growth rate, and EBIT margin moves to 50% in all three. The bear case is an ordinary downturn. It does not model a severe geopolitical shock.

10 INVESTMENT RISKS

Investment risks and catalysts

What we watch, and how the model would change.

Exhibit 18 **Risk factors and monitoring indicators**

Driver	Evidence to monitor	Model response
Demand durability	HPC sales, node mix, revenue guidance and customer investment returns	Revise 2027 to 2030 growth and how long the fade lasts
Ramp economics	N2 share of revenue alongside gross and operating margins	Adjust operating margin directly instead of leaning on mix
Capital intensity	Quarterly capex, new capacity coming online and depreciation	Revise capex to revenue and the timing of growth
Cash conversion	Receivables, inventory, trade and equipment payables	Test the 14% working capital assumption
Overseas execution	Margin dilution, utilization and subsidies received abroad	Revise margins and net investment, and count subsidies once
Policy and location	Export rules, supply continuity, regional conflict and infrastructure resilience	Reconsider how much demand TSMC can reach, the disruption risk and the discount rate
ADS and FX	USD to TWD moves, depositary terms and the ADS premium over local shares	ADS returns can drift away from the modeled USD value of the business

What would lift the value. Growth above our base case, lower capex as a share of revenue and better returns on new fabs would all do it. So would a lasting improvement in cash conversion.

What would cut it. Demand that slows before capex comes down would hurt utilization and cash flow. Margins that keep falling, or working capital above 14% of revenue, would do the same.

A serious disruption around Taiwan could push the outcome outside our scenario range, and we do not put a probability on it. The indicators above are things to track, not dated events.

We label reported results, company guidance and our own assumptions separately throughout.

11 METHODOLOGY AND CHANGES

Methodology and changes from our draft

This edition against our earlier draft. Operating forecasts to 2030 are unchanged.

Exhibit 19 **From the earlier draft to this edition, USD per ADS**

Step	DCF today	12M value
Earlier draft	331.28	357.76
Fade reinvestment follows revenue growth	-5.93	-6.55
Add October operating FCFF	+0.71	+0.71
Deduct Q1 2026 dividend paid 8 October	-1.10	-1.10
This edition	324.97	350.82

The 2026 capex assumption of $62bn did not change. The earlier draft labeled it unverified, but it is the midpoint of TSMC's reiterated US$60bn to US$64bn budget, so it now has a source.

Exhibit 20 **Historical Excel source map, columns F to K**

Metric	Worksheet and row
Revenue, gross profit and EBIT	Financial Summary 33, 34 and 35
Cash and short-term investments, debt	Financial Summary 40 and 42
D&A and diluted ordinary shares	Financial Summary 46 and 52
Parent net income	Income Statement 210
Operating cash, gross capex and FCF	Cash Flow 68, 79 and 162
Cash dividends	Cash Flow 93
Trade receivables, inventory and trade payables	Balance Sheet 38, 47 and 181

Units. The workbook reports USD thousands, so we divide by one million to get billions. Its header says TWD, but the data section is labeled US dollars.

Timing. The 2026 stub holds the November and December share of Q4 FCFF. The 2027 cash flow is discounted for two thirds of a year. The terminal value sits at mid-2035, and the twelve-month value shifts every period by one year.

Checks. The workbook and a separate Python model agree to the cent. Summing 800 years of terminal cash flows, with no closed-form tail, gives the same terminal value to the cent. All six historical identities, OCF less capex equals FCF, hold within $0.01 thousand.

All calculations use unrounded values. Full-year 2026 FCFF appears for reference, but the DCF only counts the part still ahead on 30 October.

12 SOURCES AND VIEW

Sources and our view

The three sources the figures rest on.

S1 **TSMC financial data workbook**

Vendor export dated 30 October 2026. The 2020 to 2025 record on page 2 and the starting point of the model.

S2 **TSMC Q3 2026 results**

Financial statements, management report and earnings call of 15 October 2026. The balance sheet and share count behind the equity bridge, the 2026 capital budget of US$60bn to US$64bn, and Q4 guidance.

S3 **Stock Analysis, TSM price history**

NYSE closing price of $406.13 on 30 October 2026.

Our view

TSMC is a very good business, and we expect earnings to keep growing for years. The shares have already priced that in. At $406.13 they trade about 16% above our twelve-month value of $351, and the price only works if growth runs about 5 points a year faster than our base case. We would turn more positive on a lower price, or on evidence that growth can beat our path by three points or more each year. A 9.5% WACC instead of 10.5% would nearly close the gap, at about $403. On that basis we rate TSM a SELL with a twelve-month target of $351. In our rating key a SELL means downside of more than 10%, and this target implies 13.6% downside. We do not use consensus estimates.

Source titles are clickable. Market cutoff is 30 October 2026. Company filings were read on 1 November 2026.